CAPITAL MARKETS

Nomura's $719M SASB Deal Shows Private Credit Is Choosing Multifamily Over Agency Debt

The largest single-bank SASB in two years signals a shift in how multifamily sponsors access capital.

July 24, 2026 · Commercial Observer · 4 min read

A source-grounded Light Tower Insight. The complete note follows.

Nomura Securities just priced the largest single-bank single-asset single-borrower CMBS deal in two years. The $719 million KELR 2026-MF transaction is backed by 13 multifamily and student housing properties owned by Keller Investment Properties. The AAA bonds priced at 135 basis points over SOFR. The deal was multiple times oversubscribed.

Those are the facts. The market signal is more specific: a sponsor that historically borrowed from Fannie Mae and Freddie Mac just chose the private capital markets instead. That choice reveals something about where the cheapest, most flexible debt now lives for large multifamily portfolios.

Keller Investment Properties is not a first-time borrower. It is a first-time CMBS borrower. The company built its portfolio over two decades, acquired the assets between 2001 and 2022, and invested $46 million in capital improvements. It had access to agency debt. It chose a floating-rate, interest-only SASB structure with a two-year term and three one-year extension options.

The decision is not about rate. Agency multifamily debt has been pricing inside 135 over SOFR for most of the last year. The decision is about proceeds, term, and certainty of execution.

Agency lenders cap loan proceeds relative to appraised value and debt service coverage. A SASB structure, particularly one underwritten by a single bank acting as sole lender, can push higher proceeds against a stabilized portfolio. The borrower gets more capital today. The lender gets a bond that institutional investors oversubscribed.

That trade works only when the collateral is strong enough to survive the scrutiny of a rating agency and a bond market that has become deeply skeptical of office and retail. Multifamily in the Mountain West, with a student housing component tied to a growing university, passes that test. The AAA tranche priced at 135 over SOFR, which is tight for a floating-rate SASB and reflects the quality of the collateral and the structure.

The deal also closed in just over 60 days. That is fast for a first-time CMBS borrower. It suggests that Nomura and Newmark, which brokered the financing, pre-solved the structural and documentation issues that typically slow a debut transaction. The speed matters because it compresses the period during which market conditions can shift. A borrower who can close in 60 days locks in pricing and terms that a slower process might lose.

Keller's move away from agency debt is not a rejection of the agencies. It is a recognition that the agencies are not always the optimal source of capital for a sponsor who wants maximum proceeds, maximum flexibility on extension, and a single counterparty rather than a syndicate. The agencies offer lower base rates and longer terms. They also impose tighter underwriting on leverage and require compliance with affordable housing and other mission-driven requirements. A sponsor with a portfolio that does not fit neatly into those boxes may find the private market more accommodating.

The oversubscription on the bond sale is the market's confirmation that this structure works. Investors wanted the paper. They wanted multifamily exposure in growing Western markets. They wanted a floating-rate instrument that reprices with SOFR. They wanted a single-bank deal where the lender's underwriting is concentrated and accountable.

That last point is worth pausing on. The single-bank SASB structure concentrates risk on the originating bank. If the loan performs, the bank keeps the fee income and the relationship. If the loan defaults, the bank cannot point at a syndicate partner. That alignment of incentives matters to bond buyers who have been burned by originate-to-distribute structures where no one had real skin in the game.

Nomura launched its CRE lending platform last summer. This deal is its largest single-bank SASB and one of the largest since 2020. The platform is not yet a year old. It is already competing for and winning mandates that would have gone to the agencies or to larger syndicate banks a few years ago.

The implication for the broader market is straightforward: private credit is not just filling gaps left by regional banks. It is actively competing for the best multifamily sponsors. The agencies still have a role, particularly for smaller deals, for affordable housing, and for sponsors who prioritize rate certainty over proceeds. But for a sponsor with a large, well-located, well-managed portfolio, the private capital markets now offer a credible alternative.

The next test is whether this deal becomes a template or an outlier. If other large multifamily sponsors follow Keller's path, the agency share of the multifamily lending market will shrink. If the deal performs well and the bonds trade tight in the secondary market, the cost of capital for this structure will come down further. That would pull more borrowers into the SASB market.

For now, the signal is clear: the cheapest capital is not always the best capital. The best capital is the capital that matches the borrower's needs on proceeds, term, and flexibility. Keller found that capital in the private market. Other sponsors will be watching.

SOURCES

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